Lease or Buy Your Dubai Office?

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Short answer: if you are confident you will stay in the same space for five years or more, buying a ready office in Dubai usually beats leasing on today's numbers. If you are not, lease, and keep your cash working in the business.

The longer answer depends on three things: how long you will stay, where you want to be, and how big you need to be. Dubai office rents have climbed roughly 20% a year since 2022, and more founders and CFOs are asking me the same question: why keep paying a landlord when the rent could be a mortgage? Here is how I would think it through.



Where the market stands in late 2026

Rents are high but have stopped climbing, and sale prices have plateaued after a sharp run-up.

- **Rents:** Savills puts the city-wide average at about AED 241 per sq ft a year in Q3 2026, flat for three quarters after years of double-digit growth. (Savills)
- **Sale prices:** ready and off-plan offices averaged about AED 2,000 per sq ft in H1 2026, up 15% year on year but easing slightly in Q2. (Cavendish Maxwell via Khaleej Times)
- **Occupancy:** Grade A buildings are around 95% let, so good space to lease is still scarce. (Cushman & Wakefield)
- **Supply:** about 2 million sq ft is due in 2026 and 1.6 million sq ft in 2027, with far more by 2030, mostly in Business Bay and DIFC. (Savills)

That new supply matters for both sides. Tenants should gain negotiating power from 2027. Buyers should not assume prices keep rising at 2023–2025 rates.

Leasing: flexibility, at a rising price

Pros

- Low upfront cash: typically a deposit, a few cheques and fit-out, so capital stays in hiring, stock and growth.
- Flexibility to grow, shrink or relocate when the lease ends.
- Access to prime Grade A towers in DIFC and Downtown, where most stock is held by landlords for leasing.
- No exposure to falling property values, and maintenance of the building sits with the landlord.

Cons

- You are exposed to rent increases at every renewal, within the limits of the RERA rental index.
- Rent is a pure cost: after five years you own nothing.
- Fit-out is often spent on someone else's asset, and may need reinstating when you leave.
- In a tight market, the landlord can decline to renew or reprice sharply.

Buying: control and equity, at a real entry cost

Pros

- Fixed occupancy cost: no renewal shocks, which matters after the rent rises of 2022–2025.
- Every payment builds equity in a freehold asset you can later sell, or lease out if you move.
- Freedom to fit out once, properly, for your brand and team.
- A visible signal of permanence to clients, banks and regulators.

Cons

- Entry costs of roughly 6–7% of the price: the 4% DLD transfer fee plus AED 580, 2% agency commission plus VAT, and the trustee fee of AED 4,000 plus VAT. (Property Finder)
- 5% VAT on the purchase price. A VAT-registered company using the office for its business can usually recover it, but it is still cash out on day one.
- Service charges of about AED 13–18 per sq ft a year in mid-market towers and AED 18–35 in Grade A. (Realty Hunting)
- Capital tied up: commercial mortgages usually need a larger down payment than residential ones.
- Less flexibility. If you outgrow or shrink, you must sell or sublet, and a resale can take months.

For a 1,500 sq ft unit in Business Bay at about AED 1,800 per sq ft (AED 2.7 million), plan on roughly AED 175,000 in transfer costs before VAT, plus fit-out.

After how many years does buying make sense?

On today's prices and rents, buying a ready office breaks even against leasing in about 4–6 years in most business districts, and 6–8 years in prime CBD towers. Below five years, leasing almost always wins.

The logic is simple. Owning saves you the rent, but costs you service charges, upkeep and the return your cash could earn elsewhere. Each year, that net saving chips away at the 6–7% you paid to get in and the ~2% you pay to get out.

I ran a simple model for a typical unit: rents rising 3% a year, service charges and 0.5% upkeep, a 5% annual cost of capital, and 2% selling costs at exit.

Scenario	Break-even
Prices flat, JLT or value districts	~3–4 years
Prices flat, Business Bay	~4–5 years
Prices flat, Downtown or DIFC	~6 years
Prices +2% a year	2–3 years almost everywhere
Prices drift down 1% a year, rents flat, 6% cost of capital	12+ years, or never

The last row is the one to respect. The model is only as good as your exit price, and around 24 million sq ft of new office space is planned to 2030. My rule of thumb: **buy only if you would happily stay seven years, even if the property market went sideways.**

Does the area change the answer?

Yes. The higher the rent relative to the price, the faster buying pays back, and that ratio varies a lot across Dubai.

Area	Avg rent (AED/sq ft/yr)	Typical sale price (AED/sq ft)	Lean
Downtown / DIFC	~370 (Downtown)	~5,100 (Downtown)	Lease. Little prime stock for sale, highest entry ticket
Business Bay	~150	~1,200–1,800	Buy if staying 5+ years. Deepest sales market in the city
JLT (DMCC)	~135	~1,300	Buy. Strong rent-to-price ratio for owner-occupiers
Barsha Heights, Internet City	~155–175	Mid-range	Case by case
DSO, Al Quoz, Dubai South, Motor City	~85–125	Lowest	Buy for cost control; check resale depth

Rents: Property Monitor via Engel & Völkers, May 2026. Downtown price: Knight Frank 2025 via Gulf News. Business Bay and JLT prices are listing-based (Realty Hunting).

Two more things to check before you choose an area:

- **Your licence.** A free zone company generally needs its office inside its own zone: DMCC in JLT, DIFC in DIFC. That can decide the question for you.
- **What gets built next.** DIFC's pipeline is largely for lease, while Business Bay's is mostly sold to investors, so Business Bay will offer more choice to buyers and more competition for resale. (Khaleej Times)

Does office size change the answer?

Yes. Small offices are the easiest to buy and resell; large floors usually favour leasing.

- **Under 1,000 sq ft (startups, 1–8 people):** the most liquid segment. Half of off-plan office deals in H1 2026 were under 1,000 sq ft. (Cavendish Maxwell via Zawya) Buying works if the team will not outgrow it within five years.
- **1,000–3,000 sq ft (SMEs, 8–30 people):** the sweet spot for ownership. These units made up 53% of ready sales, so there are buyers when you exit, and Savills found 97% of all office deals in Q1 2026 were 3,000 sq ft or smaller. (Savills)
- **3,000–10,000 sq ft (regional HQs):** the cheque is large and resale buyers are fewer. Combining adjacent strata units is possible but harder. Lease, or buy only with a long horizon.
- **Full floors and above:** almost always leased. Larger units are rare in the sales market, and landlords offer rent-free periods and fit-out contributions that a seller never will.

A five-question test before you decide

1. Will we stay in this space, at roughly this headcount, for five to seven years?
2. Does our licence tie us to a specific zone, and is there stock for sale there?
3. Is the cash for 25–50% down plus ~7% costs better spent on the business?
4. If prices went sideways, would we still be happy owning it?
5. Does the rent-to-price ratio in our target building favour buying?

Three or more yeses, and buying deserves a serious look. Otherwise, use the new supply coming in 2027 to negotiate a better lease.

Every company's numbers are different. If you would like me to run this comparison on a specific building or on your current lease, I am happy to help.

Figures are averages from published market reports and listings as of November 2026, and are for guidance only, not financial advice.

Georges Akkaoui

Commercial Real Estate Advisor, fäm Properties

Call or WhatsApp: +971 50 425 2209

Web: www.georgesakkaoui.com